

lifespan exceeds the expectation of how long you were going to live, and therefore results in you needing more income (or cash flow) to fund these extra years. Insurers and governments who promise pensions and elderly support take into account longevity risk, but it affects women directly as well.

In heterosexual relationships, women tend to outlive their male partners by an average of five years, and more often than not they are negatively surprised by what has been left for them in their family's estate planning. In fact, a 2018 UBS study found 98 per cent of widows and divorcees would tell other women to take a more active role in the money decisions at home. Having more of a say in money matters helps women understand and plan for their futures, and investing plays a huge part in this.

Governments already know investing is a powerful tool to help their citizens be comfortable during retirement. That's why so many countries have an opt-in retirement plan set up with employers, whether it be KiwiSaver in New Zealand, 401(k) in the US, Registered Retirement Savings Plans (RRSP) in Canada or superannuation in Australia. These schemes encourage everyday people to put aside a small portion of their pay cheque into an investment fund that aligns with their risk profiles and invests the money on their behalf. Many people assume these are 'saving schemes', but the money isn't saved in a bank account, but rather invested on your behalf.

It's also worth mentioning the shift in population demographics and what that means for you. Currently many OECD countries have a larger percentage of young people who are eligible to work, whose taxes pay for the elderly's government funding.

In simple terms, we have enough young people to pay for the pensions of all the elderly people. However, as life expectancy continues to grow and birth rates decline, we'll soon see a smaller proportion of young people having to fund a larger population of elderly (as illustrated in [figure 1.4](#), overleaf). This means the retirement age will likely be pushed past 65 and that there will be less money to go around to us when we're older.

The next generation will eventually get fed up with funding our lives and will likely cut down or remove the pension system entirely. It's not a wild assumption, either: governments in the US, UK and NZ are already in talks